

Financial statements

As of December 31, 2025, and 2024

Global Atlantic Assurance Limited

*(a wholly-owned subsidiary of
Global Atlantic Re Limited)*



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INDEPENDENT AUDITOR'S REPORT

To The Board of Directors of
Global Atlantic Assurance Limited

Opinion

We have audited the financial statements of Global Atlantic Assurance Limited (the "Company"), which comprise the balance sheets as of December 31, 2025 and 2024, and the related statements of income (loss), comprehensive income (loss), shareholder's equity, and cash flows for the years then ended, and the related notes to the financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

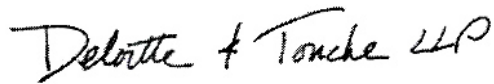
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from

fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

A handwritten signature in black ink that reads "Deloitte & Touche LLP". The signature is written in a cursive, flowing style.

April 23, 2026

Balance sheets

	As of December 31,	
	2025	2024
(\$ in millions, except share data)		
Assets		
Investments:		
Fixed maturity securities, available-for-sale, at fair value (amortized cost: \$5,561 and \$6,375, respectively.)	\$ 4,838	\$ 5,263
Fixed maturity securities, trading, at fair value (amortized cost: \$2,087 and \$2,134, respectively.)	1,462	1,460
Mortgage and other loan receivables	1,364	1,598
Real assets	12	10
Other investments	42	—
Total investments	7,718	8,331
Cash and cash equivalents	155	220
Accrued investment income	63	73
Reinsurance recoverable	2,346	2,502
Insurance intangibles	3	11
Other assets	31	41
Total assets	10,316	11,178
Liabilities		
Policy liabilities	7,747	8,641
Funds withheld payable at interest (portion at fair value: \$(635) and \$(703).)	1,779	1,871
Other liabilities	34	51
Reinsurance liabilities	37	39
Total liabilities	9,597	10,602
Commitment and contingencies (Note 15)		
Shareholder's equity		
Additional paid-in capital	1,629	1,629
Retained earnings (deficit)	(188)	60
Accumulated other comprehensive income (loss)	(722)	(1,113)
Total shareholder's equity	719	576
Total liabilities and shareholder's equity	\$ 10,316	\$ 11,178

See accompanying notes to financial statements.

Statements of income (loss)

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Revenues		
Premiums	\$ 30	\$ 30
Net investment income (loss)	315	325
Net investment-related gains (losses)	(319)	(40)
Other income (loss)	2	2
Total revenues	28	317
Benefits and expenses		
Policy benefits and claims (remeasurement (gain) loss on policy liabilities: \$ 1 and \$(1), respectively.)	259	231
Amortization of policy acquisition costs	7	31
Insurance expenses	5	10
General and administrative expenses	5	6
Total benefits and expenses	276	278
Net income (loss)	\$ (248)	\$ 39

See accompanying notes to financial statements.

Statements of comprehensive income (loss)

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Net income (loss)	\$ (248)	\$ 39
Other comprehensive income (loss):		
Unrealized gains (losses) on other instruments	120	(65)
Reclassification adjustment for gains (losses) on hedging instruments reclassified to other instruments	(6)	—
Less: reclassification adjustment for gains (losses) included in net income (loss)	(273)	(23)
Unrealized gains (losses) on other instruments	387	(42)
Unrealized gains (losses) on hedging instruments	10	(11)
Less: reclassification adjustment for gains (loss) on hedging instruments reclassified to other instruments	6	—
Unrealized gains (losses) on hedging instruments	4	(11)
Other comprehensive income (loss)	391	(53)
Comprehensive income (loss)	\$ 143	\$ (14)

See accompanying notes to financial statements.

Statements of shareholder's equity

	Common stock		Additional paid-in capital		Retained earnings (deficit)		Accumulated other comprehensive income (loss)		Total shareholder's equity	
(\$ in millions)										
Balance as of December 31, 2023	\$	—	\$	1,779	\$	21	\$	(1,060)	\$	740
Net income (loss)				—		39		—		39
Other comprehensive income (loss)		—		—		—		(53)		(53)
Return of capital		—		(150)		—		—		(150)
Balance as of December 31, 2024	\$	—	\$	1,629	\$	60	\$	(1,113)	\$	576
Net income (loss)		—		—		(248)		—		(248)
Other comprehensive income (loss)		—		—		—		391		391
Balance as of December 31, 2025	\$	—	\$	1,629	\$	(188)	\$	(722)	\$	719

See accompanying notes to financial statements.

Statements of cash flows

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Cash flows from operating activities		
Net income (loss)	\$ (248)	\$ 39
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:		
Net investment and policy liability related (gains) losses	319	53
Net accretion and amortization	(13)	19
Interest credited to policy account balances less policy fees	116	118
Changes in operating assets and liabilities:		
Change in premiums, funds withheld, and reinsurance recoverable, net of reinsurance premiums payable	5	(32)
Change in accrued investment income	10	9
Change in policy liabilities and accruals, net	(85)	(262)
Other operating activities, net	(3)	(35)
Net cash provided by (used in) operating activities	101	(91)
Cash flows from investing activities		
Proceeds from disposals of available-for-sale fixed maturity securities	1,753	464
Proceeds from maturities of available-for-sale fixed maturity securities	566	430
Proceeds from disposals and maturities of trading fixed maturity securities	91	206
Proceeds from disposals of equity securities	229	10
Proceeds from mortgage and other loan receivables sold, matured or collected	267	121
Proceeds (settlements) from disposals of other investments	(11)	229
Purchase of available-for-sale fixed maturity securities	(2,204)	(1,145)
Purchase of trading fixed maturity securities	(60)	(114)
Purchase of equity securities	(373)	(10)
Purchase of mortgage and other loan receivables	(123)	(110)
Purchase of other investments	(2)	(11)
Other investing activities, net	—	69
Net cash provided by (used in) investing activities	133	139
Cash flows from financing activities		
Additions to contractholder deposit funds	80	135
Withdrawals from contractholder deposit funds	(379)	(218)
Return of capital to parent	—	(150)
Net cash provided by (used in) financing activities	(299)	(233)
Net change in cash and cash equivalents	(65)	(185)
Cash and cash equivalents, beginning of period	220	405
Cash and cash equivalents, end of period	\$ 155	\$ 220

Statements of cash flows

	Years ended December 31,	
	2025	2024
(\$ in millions)		

Non-cash transactions

Available-for-sale fixed maturity securities disposed of in satisfaction of a funding arrangement	\$	455	\$	—
Equity securities disposed of in satisfaction of a funding arrangement		99		—
Mortgage loans disposed of in satisfaction of a funding arrangement		73		—
Intercompany notes receivable disposed of in satisfaction of a funding arrangement		—		184

See accompanying notes to financial statements.

(1) Nature of business and basis of presentation

Global Atlantic Assurance Limited ("GAAL," the "Company," we, our, or us) is a Bermuda registered company and wholly-owned subsidiary of Global Atlantic Re Limited ("GA Re" or "Global Atlantic Re"), a Bermuda registered company. Global Atlantic Re Limited is a direct wholly owned subsidiary of Global Atlantic Limited (Delaware) ("Global Atlantic," or "GALD"), a Delaware corporation. GALD is an indirect wholly-owned subsidiary of The Global Atlantic Financial Group LLC ("TGAFG"), a Bermuda company.

The Company is registered under the Insurance Act 1978 as a Class E and Class 3A insurer. The Company has issued Funding Agreements (Guaranteed Investment Contracts, or "GIC") to an affiliated counterparty and assumes whole life, other life insurance where mortality risk is retained by the ceding company, and mortality risk related to life blocks from non-affiliated counterparties.

KKR initial acquisition of Global Atlantic Financial Group Limited

On February 1, 2021, KKR & Co. Inc. (together with its subsidiaries, "KKR") completed the acquisition of the Company's ultimate parent, Global Atlantic Financial Group Limited ("GAFG"), by Magnolia Parent LLC ("Magnolia"), a KKR subsidiary, as contemplated by the Agreement and Plan of Merger, dated July 7, 2020 (as amended, the "2021 Merger Agreement"), by and among GAFG, Global Atlantic Financial Life Limited ("GAFL"), Magnolia, Magnolia Merger Sub Limited ("Merger Sub"), LAMC LP, and Goldman Sachs & Co. LLC, solely in its capacity as the equity representative, referred to here-in as the "2021 KKR Acquisition." The total purchase price for the transaction was \$4.7 billion. Upon the conclusion of the acquisition, Magnolia was renamed to TGAFG.

KKR subsequent acquisition of remaining non-controlling interests in The Global Atlantic Financial Group

On January 2, 2024, KKR completed the merger previously announced on November 29, 2023, as contemplated by the Agreement and Plan Merger, (the "2023 Merger Agreement") by and among KKR Magnolia Holdings LLC ("Magnolia Holdings"), an indirect subsidiary of KKR, Sweetbay Merger Sub LLC, a direct subsidiary of Magnolia Holdings ("Merger Sub") and The Global Atlantic Financial Group and together with its subsidiaries, Global Atlantic, pursuant to which KKR acquired the remaining portion of Global Atlantic that KKR did not already own (the "2024 KKR Acquisition"). At the closing of the transaction (the "Closing"), Merger Sub merged with and into TGAFG, with TGAFG surviving the merger, resulting in Global Atlantic becoming a wholly owned subsidiary of KKR.

Significant transactions

In June 2024, the Board of Directors of the Company, Global Atlantic Assurance Limited ("GAAL"), a Bermuda domiciled company, and GALD voted to proceed with an internal reorganization of certain subsidiaries in the second quarter of 2024 to simplify the corporate structure, or the "Reorganization."

Concurrently, on June 30, 2024, GALD also contributed all of its common stock in GAAL to GA Re, resulting in GAAL becoming a direct, wholly-owned subsidiary of GA Re. The contribution of GAAL's ownership to GA Re by GALD, a common parent, was considered to be a transaction between entities under common control. Accordingly, the contribution of GAAL's ownership to GA Re was accounted for on a carryover basis whereby GAAL was recorded based on GALD's historical carrying amounts in the GA Re's financial statements.

Basis of presentation

The financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America ("U.S. GAAP"), which differ in certain respects from those followed in reports to the Bermuda Monetary Authority (the "BMA"), the insurance regulatory authority of Company.

The preparation of financial statements in conformity with U.S. GAAP requires the Company to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of any contingent assets and liabilities as of the date of the financial statements, and the amounts of revenues and expenses recognized during the reporting period. Amounts based on such estimates involve numerous assumptions subject to varying and potentially significant degrees of judgment and uncertainty, particularly related to the future performance of the underlying business. Actual experience could materially differ from these estimates and assumptions. The most significant estimates are those used in determining valuation and impairment of investments, valuation of embedded derivatives, and valuation of policy liabilities.

(2) Significant accounting policies

The following are the Company's significant accounting policies and references to notes providing additional information on policies:

Accounting policy	Note
Investments	3, 4 and 5
Investment impairment	3 and 5
Derivative instruments	4, 5 and 7
Policy liabilities	7
Reinsurance	8

Investments

In the normal course of business, the Company enters into transactions involving various types of investments.

Investments include the following: U.S. government and agency obligations; commercial mortgage-backed securities ("CMBS"), residential mortgage-backed securities ("RMBS"), collateralized loan obligations ("CLOs"), collateralized bond obligations ("CBOs") and all other structured securities, consisting primarily of asset-backed securities ("ABS") (collectively, "structured securities"); corporate bonds; state and political subdivision obligations; foreign government obligations; equity securities; mortgage and other loan receivables; policy loans; and other non-derivative investments.

Available-for-sale fixed maturity securities

The Company primarily accounts for its fixed maturity securities (including bonds and structured securities) as available-for-sale ("AFS"). AFS fixed maturity securities are generally recorded on a trade-date basis, and are carried at fair value. Impairment associated with AFS fixed maturity securities is recognized as an allowance for credit losses. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the statements of income (loss) for securities identified as credit impaired after purchase, or by a gross-up recognition of an initial allowance for purchased credit deteriorated ("PCD") securities.

PCD securities are those purchased by the Company that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. The Company considers an AFS fixed maturity security to be PCD if there are indicators of a credit loss at the acquisition date or, in the case of structured securities, if there is a significant difference between contractual cash flows and expected cash flows at acquisition. The initial amortized cost for a PCD security equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a discounted cash flow method, based on the best estimate of the present value of cash flows expected to be collected. After purchase, the accounting for a PCD security is generally consistent with that applied to all other securities.

Unrealized gains and losses on AFS fixed maturity securities, net of tax, are reported in accumulated other comprehensive income (loss) in the balance sheets. Realized investment gains and losses are recognized on a first-in, first-out basis, and are reported in net investment-related gains (losses) in the statements of income (loss). The amortized cost of fixed maturity securities is adjusted for impairment charge-offs, amortization of premiums, and accretion of discounts. Such amortization and accretion is calculated using the effective yield method and included in net investment income (loss) in the statements of income (loss).

For structured securities, the Company recognizes interest income utilizing a constant effective yield based on estimated cash flows generated from internal models utilizing interest rate, default and prepayment assumptions. Effective yields for structured securities that are not of high credit quality are recalculated and adjusted prospectively based on changes in expected undiscounted future cash flows, after consideration of any appropriate recognition or release of an allowance for credit losses. For structured securities that are of high credit quality, effective yields are recalculated based on payments received and updated prepayment expectations, and amortized cost is adjusted to the amount that would have existed had the new effective yield been applied since acquisition, with a corresponding charge or credit to net investment income (loss). Prepayment fees are recorded when earned in net investment income in the statements of income (loss).

The Company generally suspends accrual of interest for securities that are more than 90 days past due, and reverses any related accrued interest to net investment income (loss) in the statements of income (loss). When a security is in non-accrual status, coupon payments are recognized as interest income as cash is received, subject to consideration as to the overall collectability of the security. A security is returned to accrual status when the Company determines that the collection of amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Trading fixed maturity securities

The Company accounts for certain fixed maturity securities as trading at acquisition, based on intent or via the election of the fair value option. Trading securities are generally recorded on a trade-date basis and are carried at fair value, with realized and unrealized gains and losses reported in net investment-related gains (losses) in the statements of income (loss). Interest income from these securities is reported in net investment income (loss). Trading securities, which are primarily used to match asset and liability accounting, back funds withheld payable at interest where the investment performance is ceded to reinsurers under the terms of the respective reinsurance agreements.

Mortgage and other loan receivables

The Company purchases mortgage and other loan receivables, and these loans are carried at cost, less the allowance for credit losses and as adjusted for amortization/accretion of premiums/discounts. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the statements of income (loss) or, for PCD mortgage and other loan receivables, by a gross-up recognition of the initial allowance in the balance sheets.

PCD mortgage and other loan receivables are those purchased by the Company that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. PCD mortgage and other loan receivables also include those mortgage and other loan receivables previously held by the Company that were similarly assessed at the time of the 2021 KKR Acquisition. The initial amortized cost for a PCD mortgage or other loan receivable equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a method consistent with that used for other similar loans. See further discussion of allowance methods below. After purchase, the accounting for a PCD mortgage or other loan receivable is consistent with that applied to all other mortgage and other loan receivables.

The Company has elected the fair value option for certain mortgage and other loan receivables, when purchased or originated. Changes in the fair value of these mortgage and other loan receivables are reported in net investment related gains (losses) in the statements of income (loss).

Interest income is accrued on the principal balance of each loan based on its contractual interest rate. The accrual of interest is generally suspended when the collection of interest is no longer probable or the collection of any portion of principal is doubtful. The Company generally suspends accrual of interest

for loans that are more than 90 days past due and reverses any related accrued interest to net investment income (loss) in the statements of income (loss). When a loan is in non-accrual status, coupon payments are generally recognized as interest income as cash is received, subject to consideration as to the overall collectability of the loan. A loan is returned to accrual status when the Company determines that the collection of amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Real assets

Real assets consist primarily of investments in real estate assets, transportation assets, energy-related assets, and infrastructure assets.

Real assets in the balance sheets include investments in investment partnerships, for which the Company does not have voting control or power to direct activities. These investments are accounted for using the equity method of accounting unless the Company's interest is so minor that it has virtually no influence over partnership operating or financial policies. The equity method of accounting requires that the investments be initially recorded at cost and the carrying amount of the investment subsequently be adjusted to recognize the Company's share of the earnings and losses of the investee. Where there is a difference between the cost of the investment and the Company's proportionate share of the equity method investee's net assets, this basis difference is accreted to net investment income (loss) over the life of the underlying assets. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three month lag due to the timing of the receipt of related financial statements.

The income from the Company's equity method investments is included in net investment income (loss) in the statements of income (loss). In limited circumstances, the Company elects to apply the fair value option to investment partnerships, which are carried at fair value with unrealized gains and losses reported in net investment-related gains (losses) in the statements of income (loss). Distributions from investment partnerships that apply equity method accounting are classified as either investing or operating activities within the statements of cash flows, based on the nature of the distributions.

Cash and cash equivalents

Cash and cash equivalents in the balance sheets generally include short-term highly liquid investments with a maturity of three months or less from the date of acquisition. Amounts included are readily convertible to known amounts of cash, and are subject to an insignificant risk of change in value.

Derivative instruments

Derivatives are instruments that derive their values from underlying asset prices, indices, foreign exchange rates, reference rates and other inputs or a combination of these factors. Derivatives may be privately negotiated contracts, which are usually referred to as over-the-counter ("OTC") derivatives, or they may be listed and traded on an exchange ("exchange-traded"). The Company's derivative instruments are primarily used to hedge interest rate risk. Where certain criteria are met, some of these hedging arrangements may achieve hedge accounting.

Derivative instruments are recognized at estimated fair value in either funds withheld receivable at interest, other assets, funds withheld payable at interest or derivative liabilities in the balance sheets, with changes in fair value recorded in net investment-related gains (losses) in the statements of income (loss). Where certain qualifying criteria are met, some derivative instruments are designated as accounting hedges and are recognized at estimated fair value in derivative liabilities in the balance sheets. For derivative instruments designated as cash flow hedges, changes in fair value are initially recognized in accumulated other comprehensive income (loss) in the balance sheets and subsequently reclassified to

the statements of income (loss) when the hedged item affects earnings, in the same line item where the hedged item is reported.

Derivative receivables and payables with a counterparty that are subject to an International Swaps and Derivatives Association Master Agreement ("ISDA") or other similar agreement that provides a legal right of setoff, are presented at their net amounts. Where the legal right of setoff exists, the Company also offsets the fair value of cash collateral received or posted under an ISDA, or other similar agreement with a counterparty, against the related derivative balances as appropriate.

Investment credit losses and impairment

AFS fixed maturity securities

One of the significant estimates related to AFS securities is the evaluation of those investments for credit losses. The evaluation of investments for credit losses is a quantitative and qualitative quarterly process that is subject to risks and uncertainties and involves significant estimates and judgments by management. Changes in the estimates and judgments used in such analysis can have a significant impact on the Company's statements of income (loss). Considerations relevant to the evaluation of credit losses may include the severity of any loss position, as well as changes in market interest rates, changes in business climate, management changes, litigation, government actions, and other similar factors that may impact an issuer's ability to meet current and future principal and interest obligations. Indicators of credit impairment may also include changes in credit ratings, the frequency of late payments, pricing levels, and deterioration in any, or a combination of, key financial ratios, financial statements, revenue forecasts, and cash flow projections.

For AFS fixed maturity securities in an unrealized loss position, the Company first considers the intent to sell a security, or whether it is more-likely-than-not that it will be required to sell the security, before the recovery of its amortized cost. If the Company intends to sell an AFS fixed maturity security with an unrealized loss or it is more-likely-than-not that it will be required to sell an AFS fixed maturity security with an unrealized loss before recovery of its amortized cost basis, the amortized cost is written down to fair value and a corresponding charge is recognized to net investment-related gains (losses).

For AFS fixed maturity securities in an unrealized loss position that the Company does not intend to sell, and will not be required to sell, the Company bifurcates the impairment into two components: credit impairment and non-credit impairment. Credit impairments are measured as the difference between the security's cost or amortized cost and its estimated recoverable value, which is the present value of its expected future cash flows discounted at the current effective interest rate. The estimated recoverable value is subject to a floor equal to the fair value of the security. The remaining difference between the security's fair value and the recoverable value, if any, is the non-credit impairment. Credit impairments are recognized in the allowance for credit losses on AFS fixed maturity securities, which is established via a charge to net investment-related gains (losses) in the statements of income (loss) and non-credit impairments are charged to accumulated other comprehensive income (loss) in the balance sheets.

In determining the estimated recoverable value, the review of expected future cash flows for structured securities includes assumptions about key systemic risks (e.g., unemployment rates, housing prices) and loan-specific information (e.g., delinquency rates, loan-to-value ratios). Estimating future cash flows is a quantitative and qualitative process that incorporates information received from third parties, along with assumptions and judgments about the future performance of the underlying collateral. For corporate and government bonds, the recoverable value is determined using cash flow estimates that consider facts and circumstances relevant to the security and the issuer, including overall financial strength and secondary sources of repayment, as well as pending restructuring or disposition of assets.

In periods subsequent to the initial recognition of an allowance for credit losses on a fixed maturity security, whether for a PCD security or a security impaired since purchase, the Company continues to

monitor credit loss expectations. Deterioration in the estimated recoverable value of a credit impaired security is recognized as an addition to the allowance for credit losses, as limited by the amount by which the security's fair value is less than amortized cost. Improvements in the estimated recoverable value of a credit impaired security or improvements in the fair value of a credit impaired security that limit the amount of the allowance result in reductions in the allowance for credit losses, which are recognized as a credit to net investment-related gains (losses) in the statements of income (loss).

Amounts are charged off against the allowance for credit losses when deemed uncollectible, or when the Company determines that it intends to sell, or more likely than not will be required to sell, the security. Charge-offs are reflected as a decrease in the allowance and a direct write down in the amortized cost of the security. If the Company recovers all or a portion of an amount previously written off on a credit impaired security, the recovery is recognized as a realized investment gain.

Mortgage and other loan receivables

The Company updates its estimate of the expected credit losses on its investments in mortgage and other loan receivables each quarter. For loans that share similar risk characteristics, expected credit losses are measured on a pool basis. For loans that do not share similar risk characteristics, expected credit losses are measured individually. Loans subject to individual evaluation include those loans that are collateral dependent, where the borrower is experiencing financial difficulty. For these collateral dependent loans, expected credit losses are measured as the difference between the fair value of the collateral (less costs to sell, where the collateral is to be sold) and the amortized cost basis of the loan.

For commercial mortgage loans, the current expected credit losses are estimated using a model that evaluates the probability that each loan will default and estimates the amount of loss given the occurrence of such a default over the life of each loan in the portfolio. The model incorporates historical and current data on the relevant property market and projects potential future paths for each loan's collateral, considering both the net income to be generated by the collateral real estate and its market value. The model considers how macroeconomic forecasts (such as gross domestic product, unemployment, and interest rates) influence commercial real estate market factors (including vacancy rates, rental and income growth rates, property value changes), and in turn how commercial real estate market conditions, in combination with loan specific information (including debt service coverage and loan to value), drive commercial mortgage loan credit risk.

For residential mortgage loans and consumer loans, the current expected credit losses are primarily estimated using a discounted cash flow model. The model considers loan-specific information as well as current, historical and forecasted data relevant to the respective loans, including home prices, interest rates and unemployment. Expected cash flows are projected for each loan and are discounted using the effective interest rate of the respective loan. Any shortfalls between the discounted cash flows and the amortized cost of each individual loan are aggregated to determine the total allowances on the residential mortgage loan and consumer loan portfolios. For certain residential mortgage loans secured by single-family rental properties, current expected credit losses are determined using a model consistent with that described above for commercial mortgage loans.

With regard to the use of forecasts in the determination of the Company's current expected credit losses, the reversion of forecasts to historical data is based on reversion dynamics that depend on the specific variable and its interaction with the other parameters of the respective model; however, the forecasts generally tend to revert to a long-term equilibrium trend within two to three years from the forecast start date.

For the investment in other loan receivables, a variety of methodologies are used to estimate the respective current expected credit losses. These methodologies consider the terms specific to each loan, including the value of any collateral, and evaluate the risk of loss over the life of these loans.

The Company also assesses and measures an allowance for credit losses arising from off-balance sheet commitments, including loan commitments, that are not unconditionally cancellable by the Company. This allowance for credit losses for off-balance sheet commitments is determined using methods consistent with those used for the associated mortgage and other loan receivable class, as described above, and is recognized in other liabilities in the balance sheets, since there is no funded asset for the committed amount.

When all or a portion of a loan is deemed uncollectible, the uncollectible portion of the carrying amount of the loan is charged off against the allowance. If the Company recovers all or a portion of an amount previously written off on a credit impaired loan, the recovery is recognized as a realized investment gain.

Real assets

The determination of the amount of impairment on other classes of investments also requires significant judgment and is based upon a periodic evaluation and assessment of known and inherent risks associated with the respective asset class. Such assessments are revised as conditions change and new information becomes available.

Impairment of consolidated real assets carried at depreciated cost is assessed whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. When indicators of impairment are present, a recoverability test is performed to determine if the sum of the estimated undiscounted future cash flows attributable to the assets is greater than the carrying amount. If the undiscounted estimated future cash flows are less than the carrying amount, an impairment loss is recognized based on the amount by which the carrying amount exceeds its estimated fair value.

Impairment of investments subject to the equity method of accounting is assessed whenever events or circumstances suggest that the carrying amount may not be recoverable. An impairment charge is recognized in earnings for a decline in value that is determined to be other than temporary, and is measured as the difference between the carrying amount and the fair value of the equity method investment as of the balance sheet date.

Deferral and amortization of certain revenue and expenses

Deferrals

Value of business acquired ("VOBA") represents the difference between the carrying value of the purchased insurance contract liabilities at the time of the business combination and the estimated fair value of insurance and reinsurance contracts. VOBA can be either positive or negative. Positive VOBA is recorded in insurance intangibles. Negative VOBA is recorded in the same financial statement line in the balance sheets as the policy liabilities.

Deferred revenue liability ("DRL") represents unearned premium on certain reinsurance contracts (e.g., Monthly Renewable Term). DRL is included in contractholder deposit funds and other policyholder liabilities in the balance sheets.

Amortization

VOBA and DRL are amortized straight line over the life of the contracts.

Policy liabilities

Policy liabilities (or collectively, “reserves”) are the portion of past premiums or assessments received that are set aside to meet future policy and contract obligations as they become due. Interest accrues on these reserves and on future premiums, which may also be available to pay for future obligations. The Company establishes reserves to pay future policy benefits, claims, and certain expenses for its reinsured life policies and annuity contracts.

Reserves are estimates based on models that include many actuarial assumptions and projections. These assumptions and projections, which are inherently uncertain, involve significant judgment, including assumptions as to the levels and/or timing of premiums, benefits, claims, expenses, interest credits, investment results (including equity market returns), mortality, longevity, and persistency.

The assumptions on which reserves are based are intended to represent an estimation of experience for the period that policy benefits are payable. The adequacy of these reserves and the assumptions underlying those reserves are reviewed at least annually. The Company cannot, however, determine with precision the amount or the timing of actual policy benefit payments. If actual experience is better than or equal to the assumptions, then reserves would be adequate to provide for future policy benefits and expenses. If experience is worse than the assumptions, additional reserves may be required to meet future policy and contract obligations. This would result in a charge to the Company’s net income (loss) during the period in which excess policy benefits are paid, or an increase in reserves occurs.

Guaranteed investment contracts

GICs are non-life contingent annuities which are accounted for as financial instruments. The issuer is contractually obligated to repay the principal and specified interest guaranteed to the purchaser. The liabilities are recorded in policyholder liabilities in the balance sheets.

Interest-sensitive life products

The Company reinsures universal life and variable universal life policies, for which the base policy reserve is the policyholder account value. These products require that the retrospective deposit method be used. The retrospective deposit method establishes a liability for policyholder benefits in an amount determined by the account or contract balance that accrues to the benefit of the policyholder.

Whole and term life

The Company has established liabilities for amounts payable under insurance policies, including whole life insurance and term life insurance policies. These policies provide death benefits in exchange for a guaranteed level premium for a specified period of time and, in the case of whole life, a guaranteed minimum cash surrender value. Generally, liabilities for these policies are calculated as the present value of future expected benefits to be paid, reduced by the present value of future expected net premiums. Current assumptions are used in the establishment of liabilities for future policyholder benefits including mortality, policy lapse, renewal, investment returns, inflation, expenses and other contingent events as appropriate for the respective product.

At least quarterly, the Company updates its estimate of cash flows expected over the entire life of a group of contracts, using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original reinsurance contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss, and is

presented parenthetically as a separate component of benefit expense in the statements of income (loss).

Outstanding claims

Outstanding claims include amounts payable relating to in course of settlement and incurred but not reported claim liabilities. In course of settlement, claim liabilities are established for policies when the Company is notified of the death of the policyholder, but the claim has not been paid as of the reporting date. Incurred but not reported claim liabilities are determined using studies of past experience and are estimated using actuarial assumptions of historical claims expense, adjusted for current trends and conditions. These estimates are continually reviewed, and the ultimate liability may vary significantly from the amounts initially recognized, which are reflected in net income (loss) in the period in which they are determined. Changes in policyholder and contract claims are recorded in policy benefits and claims in the statements of income (loss).

Reinsurance

Consistent with the overall business strategy, the Company assumes certain policy risks written by other insurance companies on a coinsurance basis. Reinsurance accounting is applied for these assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer mortality or morbidity risks, and subject the reinsurer to a reasonable possibility of a significant loss.

With respect to ceded reinsurance, the Company values reinsurance recoverables on reported claims at the time the underlying claim is recognized in accordance with contract terms. For future policyholder benefits, the Company estimates the amount of reinsurance recoverables based on the terms of the reinsurance contracts and historical reinsurance recovery information. The reinsurance recoverables are based on what the Company believes are reasonable estimates and the balance is reported as an asset in the balance sheets. However, the ultimate amount of the reinsurance recoverable is not known until all claims are settled.

The cost of reinsurance, which is the difference between the amount paid for a reinsurance contract and the amount of the liabilities for policy benefits relating to the underlying reinsured contracts, is deferred and amortized over the reinsurance contract period for short-duration contracts, or over the terms of the reinsured policies on a basis consistent with the reporting of those policies for long-duration contracts. Generally, the Company amortizes cost of reinsurance based on policy count or effective yield method, retrospectively calculated based on actual and projected future cash flows. Cost of reinsurance assets and liabilities are reported in insurance intangibles and policy liabilities in the balance sheets, respectively. Reinsurance contracts do not relieve the Company from its obligations to policyholders, and failure of reinsurers to honor their obligations could result in losses to the Company; consequently, allowances are established for expected credit losses, via a charge to policy benefits and claims in the statements of income (loss). The Company's funds withheld receivable at interest and reinsurance recoverable assets are reviewed for expected credit losses by considering credit ratings for each reinsurer, historical insurance industry specific default rate factors, rights of offset, expected recovery rates upon default, and the impact of other terms specific to the reinsurance arrangement.

For funds withheld and modified coinsurance agreements, the Company has the right to obligation to pay the total return on assets supporting the funds withheld payable at interest. This indirectly exposes the Company to the credit risk of the underlying assets. As a result, funds withheld and modified coinsurance agreements are viewed as total return swaps, and accounted for as embedded derivatives. Embedded derivatives are required to be separated from the host contracts and measured at fair value, with changes in fair value recognized in net income (loss). Generally, the embedded derivative is measured as the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the

funds withheld payable at interest on the balance sheets. Changes in the fair value of the embedded derivative are reported in operating activities on the statements of cash flows.

Recognition of insurance revenue and related benefits

Premiums related to life reinsurance contracts are recognized in premiums in the statements of income (loss) when due from the contractholders.

Amounts received as payment for investment-type contracts are reported as deposits to contractholder account balances, and recorded in policy liabilities in the balance sheets. Revenues from these contracts consist primarily of fees assessed against the contractholder account balance for mortality, policy administration, separate account administration, and surrender charges, and are reported in policy fees in the statements of income (loss). Additionally, the Company earns investment income from the investment of contract deposits in the Company's insurance companies' general account portfolio, which is reported in net investment income (loss) in the statements of income (loss).

Future application of accounting standards

Measurement of Credit Losses for Accounts Receivable and Contract Assets

In July 2025, the FASB issued ASU 2025-05, "Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets" ("ASU 2025-05"). ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2025. Early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on the Company's financial statements.

Improvements to income tax disclosures

In December 2023, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2023-09 "Improvements to Income Tax Disclosures" ("ASU 2023-09"). ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. The guidance is effective for annual periods beginning after December 15, 2025, with early adoption permitted. The guidance is not expected to have a material impact on the Company's financial statements.

Financial Instruments—Credit Losses (Topic 326): Purchased Loans

In November 2025, the FASB issued ASU 2025-08, Financial Instruments - Credit Losses (Topic 326) - Purchased Loans. ASU 2025-08 expands the population of purchased financial assets subject to the gross-up approach in Topic 326. As a result of this update, loans (excluding credit cards) acquired without credit deterioration and deemed "seasoned" as defined in the ASU will follow the gross-up approach at acquisition and the initial allowance for credit losses is added to the purchase price to determine the amortized cost basis of the loans. The update is effective for fiscal years beginning after December 15, 2026, including interim periods within those fiscal years, and is to be applied prospectively to loans acquired on or after adoption; early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its financial statements.

(3) Investments

Fixed maturity securities

The cost or amortized cost and fair value for AFS fixed maturity securities were as follows:

As of December 31, 2025	Cost or amortized cost	Allowance for credit losses ⁽¹⁾	Gross unrealized		Fair value
			gains	losses	
(\$ in millions)					
AFS fixed maturity securities portfolio by type:					
U.S. government and agencies	\$ 110	\$ —	\$ —	\$ (44)	\$ 66
U.S. state, municipal, and political subdivisions	84	—	—	(13)	71
Corporate	2,557	—	6	(632)	1,931
RMBS	1,419	(15)	9	(28)	1,385
CMBS	846	—	5	(12)	839
CLOs	298	—	1	—	299
Asset-Backed Securities, or “ABSs” and other structured securities	247	—	2	(2)	247
Total AFS fixed maturity securities	\$ 5,561	\$ (15)	\$ 23	\$ (731)	\$ 4,838

- (1) Represents the cumulative amount of credit impairments that have been recognized in the statements of income (loss) (as net investment gains (losses)) or that were recognized as a gross-up of the purchase price of PCD securities. Amount excludes unrealized losses related to non-credit impairment.

As of December 31, 2024	Cost or amortized cost	Allowance for credit losses ⁽¹⁾	Gross unrealized		Fair value
			gains	losses	
(\$ in millions)					
AFS fixed maturity securities portfolio by type:					
U.S. government and agencies	\$ 123	\$ —	\$ —	\$ (45)	\$ 78
U.S. state, municipal and political subdivisions	236	—	—	(47)	189
Corporate	3,473	—	3	(888)	2,588
RMBS	951	(15)	3	(75)	864
CMBS	946	—	2	(35)	913
CBOs	292	—	—	(9)	283
CLOs	195	—	1	—	196
ABSs and other structured securities	159	(1)	2	(8)	152
Total AFS fixed maturity securities	\$ 6,375	\$ (16)	\$ 11	\$ (1,107)	\$ 5,263

- (1) Represents the cumulative amount of credit impairments that have been recognized in the statements of income (loss) (as net investment gains (losses)) or that were recognized as a gross-up of the purchase price of PCD securities. Amount excludes unrealized losses related to non-credit impairment.

The maturity distribution for AFS fixed maturity securities is as follows:

	As of December 31, 2025	
	Cost or amortized cost (net of allowance)	Fair value
(\$ in millions)		
Due in one year or less	\$ 27	\$ 27
Due after one year through five years	119	121
Due after five years through ten years	179	177
Due after ten years	2,426	1,743
Subtotal	2,751	2,068
RMBS	1,404	1,385
CMBS	846	839
CLOs	298	299
ABSs and other structured securities	247	247
Total AFS fixed maturity securities	\$ 5,546	\$ 4,838

Actual maturities may differ from contractual maturities because borrowers may have the right to call or prepay obligations with or without call or prepayment penalties, or the Company may have the right to put or sell the obligations back to the issuers. Structured securities are shown separately, as they have periodic payments and are not due at a single maturity.

Securities in a continuous unrealized loss position

The following tables provide information about the Company's AFS fixed maturity securities that have been continuously in an unrealized loss position:

As of December 31, 2025	Less than 12 months		12 months or more		Total	
	Fair value	Unrealized losses	Fair value	Unrealized losses	Fair value	Unrealized losses
(\$ in millions)						
AFS fixed maturity securities portfolio by type:						
U.S. government and agencies	\$ —	\$ —	\$ 66	\$ (44)	\$ 66	\$ (44)
U.S. state, municipal and political subdivisions	—	—	72	(13)	72	(13)
Corporate	166	(11)	1,499	(621)	1,665	(632)
RMBS	50	(1)	238	(27)	288	(28)
CMBS	47	—	90	(12)	137	(12)
CLOs	5	—	4	—	9	—
ABSs and other structured securities	44	—	40	(2)	84	(2)
Total	\$ 312	\$ (12)	\$ 2,009	\$ (719)	\$ 2,321	\$ (731)

As of December 31, 2024	Less than 12 months		12 months or more		Total	
	Fair value	Unrealized losses	Fair value	Unrealized losses	Fair value	Unrealized losses
(\$ in millions)						
AFS fixed maturity securities portfolio by type:						
U.S. government and agencies	\$ 13	\$ (1)	\$ 64	\$ (45)	\$ 77	\$ (46)
U.S. state, municipal and political subdivisions	1	—	183	(47)	184	(47)
Corporate	396	(26)	1,895	(863)	2,291	(889)
RMBS	140	(5)	471	(69)	611	(74)
CMBS	167	(1)	492	(34)	659	(35)
CBOs	—	—	282	(9)	282	(9)
CLOs	2	—	7	—	9	—
ABSs and other structured securities	3	—	76	(7)	79	(7)
Total	\$ 722	\$ (33)	\$ 3,470	\$ (1,074)	\$ 4,192	\$ (1,107)

Unrealized gains and losses can be created by changing interest rates or several other factors, including changing credit spreads. The Company had gross unrealized losses on below investment grade AFS fixed maturity securities of \$20 million and \$56 million as of December 31, 2025, and 2024, respectively. The single largest loss on AFS fixed maturity securities was \$18 million and \$18 million as of December 31, 2025, and 2024. The Company had 854 and 1,265 securities in an unrealized loss position as of December 31, 2025, and 2024, respectively.

The Company had 628 and 959 securities in an unrealized loss position for twelve months or more as of December 31, 2025, and 2024, respectively. As of December 31, 2025, AFS fixed maturity securities in an unrealized loss position for twelve months or more with an allowance for credit losses had a fair value and gross unrealized losses of \$162 million and \$19 million, respectively. These fixed maturity securities primarily relate to Corporate, RMBS, and CMBS fixed maturity securities, which have depressed values due primarily to an increase in interest rates since the purchase of these securities. Unrealized losses were not recognized in net income (loss) on these debt securities since the Company neither intends to sell the securities nor does it believe that it is more likely than not that it will be required to sell these securities before recovery of their cost or amortized cost basis. For securities with significant declines in value, individual security level analysis was performed utilizing underlying collateral default expectations, market data and industry analyst reports.

Allowance for credit losses on fixed maturity securities

The table below presents a roll-forward of the allowance for credit losses recognized for fixed maturity securities held by the Company:

	Years ended December 31,	
	2025	2024
	Structured	
(\$ in millions)		
Balance as of the beginning of period ⁽¹⁾	\$ (16)	\$ (23)
Reductions due to sales (or maturities, pay downs or prepayments) during the period of securities with a previously recognized credit loss allowance	3	2
Net additions / reductions for securities with a previously recognized credit loss allowance	(2)	5
Balance as of the end of period	\$ (15)	\$ (16)

(1) Includes securities designated as purchased credit deteriorated as of the time of the KKR Acquisition.

Mortgage and other loan receivables

Mortgage and other loan receivables consist of the following:

	As of December 31,	
	2025	2024
(\$ in millions)		
Commercial mortgage loans	\$ 971	\$ 1,124
Residential mortgage loans	411	493
Other loan receivables ⁽¹⁾	5	5
Total mortgage and other loan receivables	1,387	1,622
Allowance for credit losses	(23)	(24)
Total mortgage and other loan receivables, net of allowance of credit losses	\$ 1,364	\$ 1,598

(1) As of December 31, 2025, and 2024, respectively, other loan receivables consisted of credit facility loans collateralized by residential mortgages of \$5 million.

The maturity distribution for residential and commercial mortgage loans is as follows:

Years	As of December 31, 2025		
	Residential	Commercial	Total mortgage loans
(\$ in millions)			
2026	\$ —	\$ 422	\$ 422
2027	—	208	208
2028	—	46	46
2029	1	42	43
2030	1	—	1
2031 and thereafter	409	253	662
Total	\$ 411	\$ 971	\$ 1,382

Actual maturities could differ from contractual maturities, because borrowers may have the right to prepay (with or without prepayment penalties) and loans may be refinanced.

The Company diversifies its mortgage loan portfolio by both geographic region and property type to reduce concentration risk. The following tables present the mortgage loans by geographic region and property type:

Mortgage loans - carrying value by geographic region (\$ in millions)	As of December 31,			
	2025		2024	
Pacific	\$ 261	19 %	\$ 346	21 %
West South Central	89	6 %	114	7 %
South Atlantic	436	32 %	509	32 %
Mid Atlantic	260	19 %	282	17 %
East North Central	57	4 %	74	5 %
Mountain	191	14 %	191	12 %
New England	72	5 %	79	5 %
East South Central	11	1 %	14	1 %
West North Central	5	— %	8	— %
Total by geographic region	\$ 1,382	100 %	\$ 1,617	100 %

Mortgage loans - carrying value by property type (\$ in millions)	As of December 31,			
	2025		2024	
Residential	\$ 411	30 %	\$ 493	30 %
Office building	179	13 %	193	12 %
Apartment	625	45 %	726	44 %
Industrial	119	9 %	140	9 %
Retail	2	— %	2	— %
Warehouse	—	— %	16	1 %
Other	46	3 %	47	4 %
Total by property type	\$ 1,382	100 %	\$ 1,617	100 %

Allowance for credit losses on mortgage and other loan receivables

Changes in the allowance for credit losses are summarized below:

	Year ended December 31, 2025			
	Commercial mortgage loans	Residential mortgage loans	Total	
(\$ in millions)				
Balance, at beginning of period	\$ 18	\$ 6	\$	24
Net provision (release)	4	(5)		(1)
Balance, as of end of period	\$ 22	\$ 1	\$	23

	Year ended December 31, 2024			
	Commercial mortgage loans	Residential mortgage loans	Total	
(\$ in millions)				
Balance, at beginning of period	\$ 13	\$ 7	\$	20
Net provision (release)	7	(1)		6
Charge-offs	(2)	—		(2)
Balance, as of end of period	\$ 18	\$ 6	\$	24

Credit quality indicators

Mortgage and loan receivable performance status

The following table represents our portfolio of commercial and residential mortgage loan receivables by origination year and performance status:

Performance status as of December 31, 2025	By year of origination						
	2025	2024	2023	2022	2021	Prior	Total
(\$ in millions)							
Commercial mortgage loans							
Current	\$ —	\$ 48	\$ 55	\$ 285	\$ 583	\$ —	\$ 971
Total commercial mortgage loans	—	48	55	285	583	—	971
Residential mortgage loans							
Current	99	25	20	75	123	49	391
30 to 59 days past due	—	—	1	1	2	3	7
60 to 89 days past due	—	—	—	1	—	3	4
90 days or more past due or in process of foreclosure	—	—	—	4	2	3	9
Total residential mortgage loans	99	25	21	81	127	58	411
Total mortgage and other loan receivables	\$ 99	\$ 73	\$ 76	\$ 366	\$ 710	\$ 58	\$ 1,382

Performance status as of December 31, 2024	By year of origination						
	2024	2023	2022	2021	2020	Prior	Total
(\$ in millions)							
Commercial mortgage loans							
Gross charge-offs for the year ended December 31, 2024	\$ —	\$ —	\$ —	\$ (3)	\$ —	\$ —	\$ (3)
Current	45	56	324	617	—	82	1,124
Total commercial mortgage loans	45	56	324	617	—	82	1,124
Residential mortgage loans							
Current	24	26	85	149	—	171	455
30 to 59 days past due	—	1	5	1	—	10	17
60 to 89 days past due	—	—	—	1	—	3	4
90 days or more past due or in process of foreclosure	—	—	3	3	—	11	17
Total residential mortgage loans	24	27	93	154	—	195	493
Total mortgage and other loan receivables	\$ 69	\$ 83	\$ 417	\$ 771	\$ —	\$ 277	\$ 1,617

Loan-to-value ratio on mortgage loans

The loan-to-value ratio is expressed as a percentage of the current amount of the loan relative to the value of the underlying collateral. The following table summarizes the Company's loan-to-value ratios for its commercial mortgage loans as of December 31, 2025, and 2024:

Loan-to-value	December 31, 2025		December 31, 2024	
	Carrying value	Percentage of commercial mortgage loans	Carrying value	Percentage of commercial mortgage loans
(\$ in millions, except percentages)				
70% and less	\$ 844	87 %	\$ 991	88 %
71% - 90%	127	13 %	133	12 %
Total commercial mortgage loans	\$ 971	100 %	\$ 1,124	100 %

Loan-to-value as of December 31, 2025, by year of origination	Carrying value loan-to-value 70% and less	Carrying value loan-to-value 71% - 90%	Total carrying value
(\$ in millions)			
2024	\$ 48	\$ —	\$ 48
2023	55	—	55
2022	246	39	285
2021	495	88	583
Total commercial mortgage loans	\$ 844	\$ 127	\$ 971

Changing economic conditions and updated assumptions affect the Company's assessment of the collectability of commercial mortgage loans. Changing vacancies and rents are incorporated into the analysis that the Company performs to measure the allowance for credit losses. In addition, the Company continuously monitors its commercial mortgage loan portfolio to identify risk. Areas of emphasis are properties that have exposure to specific geographic events or have deteriorating credit.

The weighted average loan-to-value ratio for the Company's residential mortgage loans was 60.0% and 56.0% as of December 31, 2025, and 2024, respectively.

Loan modifications

The Company may modify the terms of a loan when the borrower is experiencing financial difficulties, as a means to optimize recovery of amounts due on the loan. Modifications may involve temporary relief, such as payment forbearance for a short period time (where interest continues to accrue) or may involve more substantive changes to a loan. Changes to the terms of a loan, pursuant to a modification agreement, are factored into the analysis of the loan's expected credit losses, under the allowance model applicable to the loan.

For commercial mortgage loans, modifications for borrowers experiencing financial difficulty are tailored for individual loans and may include interest rate relief, maturity extensions or, less frequently, principal forgiveness. For both residential mortgage loans and consumer loans, the most common modifications for borrowers experiencing financial difficulty, aside from insignificant delays in payment, typically involve deferral of missed payments to the end of the loan term, interest rate relief, or maturity extensions.

The table below presents the carrying value of loans to borrowers experiencing financial difficulty, for which modifications have been granted:

Year ended December 31, 2025 by loan type	Deferral of Amounts Due	Interest Rate Relief	Maturity Extension	Combination ⁽¹⁾	Total	Percentage of total carrying value outstanding
(\$ in millions)						
Commercial mortgage loans	\$ —	\$ —	\$ 14	\$ —	\$ 14	1 %
Total	\$ —	\$ —	\$ 14	\$ —	\$ 14	

(1) Includes modifications involving deferral of amounts due, interest rate relief, or maturity extension.

Year ended December 31, 2024 by loan type	Deferral of Amounts Due	Interest Rate Relief	Maturity Extension	Combination ⁽¹⁾	Total	Percentage of total carrying value outstanding
(\$ in millions)						
Commercial mortgage loans	\$ —	\$ —	\$ —	\$ 25	\$ 25	2 %
Residential mortgage loans	1	—	—	3	4	1 %
Total	\$ 1	\$ —	\$ —	\$ 28	\$ 29	

(1) Includes modifications involving deferral of amounts due, interest rate relief, or maturity extension.

All of the commercial mortgage loans that had a combination of modifications had both interest rate relief and maturity extensions. For commercial mortgage loans granted interest rate relief, this relief generally involved either a change from a floating rate or a decrease in fixed rate to a weighted average rate of 5.5% for the year ended December 31, 2024. The maturity extensions for commercial mortgage loans added a weighted-average of 1 year to the life of the loans, for the years ended December 31, 2025 and 2024, respectively. As of December 31, 2025, the Company has no commitments to lend additional funds for the modified commercial mortgage loans disclosed above. As of December 31, 2024, the Company has commitments to lend additional funds of \$7 million for the modified commercial mortgage loans disclosed above.

The table below presents the performance status of the loans modified:

Performance status as of December 31, 2025 by loan type	Current	30-59 days past due	60-89 days past due	90 days or more past due or in process of foreclosure	Total
(\$ in millions)					
Commercial mortgage loans	\$ 14	\$ —	\$ —	\$ —	\$ 14
Total	\$ 14	\$ —	\$ —	\$ —	\$ 14

Equity method investments

As of December 31, 2025, and 2024, the Company had \$12 million and \$10 million of real assets, respectively. These investments are accounted for using the equity method of accounting.

Net investment income (loss)

Net investment income (loss) is comprised primarily of (i) interest income, including amortization of premiums and accretion of discounts, (ii) earnings from investments accounted for under equity method accounting, and (iii) lease income on real assets.

The components of net investment income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Fixed maturity securities	\$ 352	\$ 337
Mortgage and other loan receivables	74	79
Short-term and other investment income	15	35
Real assets	(1)	—
Income ceded to funds withheld payable at interest	(89)	(93)
Gross investment income	351	358
Less investment expenses:		
Investment management fees	36	33
Net investment income (loss)	\$ 315	\$ 325

Net investment-related gains (losses)

Net investment-related gains (losses) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Realized gains (losses) on AFS fixed maturity securities	\$ (271)	\$ (27)
Net gains (losses) on derivative instruments	(70)	46
Realized gains (losses) on other investments	(23)	15
Credit loss allowances on AFS fixed maturity securities	(2)	5
Credit loss allowances on mortgage and other loan receivables	(1)	(6)
Unrealized gains (losses) on fixed maturity securities classified as trading	36	(71)
Realized gains (losses) on funds withheld payable at interest	12	(2)
Net investment-related gains (losses)	\$ (319)	\$ (40)

Proceeds and gross gains and losses from voluntary sales

The proceeds from voluntary sales and the gross gains and losses on those sales of AFS fixed maturity securities were as follows:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
AFS fixed maturity securities:		
Proceeds from voluntary sales	\$ 2,207	\$ 464
Gross gains	14	1
Gross losses	(286)	(28)

(4) Derivative instruments

The Company enters into hedges designated to limit the volatility associated with changes in the value of general account assets or changes to net investment income (loss) as a result of interest rate or credit spread movements, while also taking into consideration economic impacts.

The Company has embedded derivatives related to reinsurance contracts that are accounted for on a modified coinsurance and funds withheld basis; an embedded derivative exists because the arrangement exposes the reinsurer to third-party credit risk. These embedded derivatives are included in funds withheld payable at interest in the balance sheets.

Credit Risk

The Company may be exposed to credit-related losses in the event of nonperformance by its counterparties to derivatives. Generally, the current credit exposure of the Company's derivatives is limited to the positive fair value of derivatives less any collateral received from the counterparty.

The Company manages the credit risk on its derivatives by entering into derivative transactions with highly rated financial institutions and other creditworthy counterparties and, where feasible, by trading through central clearing counterparties. The Company further manages its credit risk on derivatives via the use of master netting agreements, which require the daily posting of collateral by the party in a liability position. Counterparty credit exposure and collateral values are monitored regularly and measured against counterparty exposure limits. The provisions of derivative transactions may allow for the termination and settlement of a transaction if there is a downgrade to the Company's financial strength ratings below a specified level.

The fair value and notional value of the derivative assets and liabilities were as follows:

	As of December 31, 2025		
	Fair Value		
	Gross Notional	Assets	Liabilities
(\$ in millions)			
Derivatives designated as hedge accounting instruments:			
Interest rate contracts	\$ 87	\$ —	\$ 14
Foreign currency contracts	4	—	1
Total derivatives designated as hedge accounting instruments	91	—	15
Derivatives not designated as hedge accounting instruments:			
Interest rate contracts	87	—	14
Foreign currency contracts	4	—	1
Total derivatives not designated as hedge accounting instruments	91	—	15
Total derivatives after collateral	182	—	30
Embedded derivative – funds withheld payable at interest	—	—	(635)
Total derivatives after collateral and embedded derivatives	\$ 182	\$ —	\$ (605)

	As of December 31, 2024		
	Fair Value		
	Gross Notional	Assets	Liabilities
(\$ in millions)			
Derivatives designated as hedge accounting instruments:			
Interest rate contracts	\$ 120	\$ —	\$ 18
Total derivatives designated as hedge accounting instruments	120	—	18
Derivatives not designated as hedge accounting instruments:			
Interest rate contracts	120	—	18
Total derivatives not designated as hedge accounting instruments	120	—	18
Total derivatives after collateral	240	—	36
Embedded derivative – funds withheld payable at interest	—	—	(703)
Total derivatives after collateral and embedded derivatives	\$ 240	\$ —	\$ (667)

Derivatives designated as accounting hedges

Where the Company has derivative instruments that are designated and qualify as accounting hedges, these derivative instruments receive hedge accounting.

Fair value hedges

The Company has designated foreign exchange derivative contracts, including forwards and swaps, to hedge the foreign currency risk associated with foreign currency-denominated bonds in fair value hedges. These foreign currency-denominated bonds are accounted for as AFS fixed maturity securities. Changes in the fair value of the hedged AFS fixed maturity securities due to changes in spot exchange rates are reclassified from AOCI to earnings, which offsets the earnings impact of the spot changes of the foreign exchange derivative contracts, both of which are recognized within net investment-related gains (losses). The effectiveness of these hedges is assessed using the spot method. Changes in the fair value of the foreign exchange derivative contracts related to changes in the spot-forward difference are excluded from the assessment of hedge effectiveness and are deferred in AOCI and recognized in earnings using a systematic and rational method over the life of the foreign exchange derivative contracts. The amortized cost of the AFS fixed maturity securities in qualifying foreign exchange fair value hedges was \$5 million as of December 31, 2025.

Cash flow hedges

The Company has designated bond forwards to hedge the interest rate risk associated with the planned purchase of AFS fixed maturity securities in cash flow hedges. These arrangements are hedging purchases through December 2027 and are expected to affect earnings until 2053. Regression analysis is used to assess the effectiveness of these hedges.

As of December 31, 2025, and 2024, there was a cumulative loss of \$(14) million and \$(22) million, respectively, on the currently designated bond forwards recorded in accumulated OCI. Amounts deferred in accumulated OCI are reclassified to net investment income (loss) following the qualifying purchases of AFS securities, as an adjustment to the yield earned over the life of the purchased securities, using the effective interest method.

For all cash flow hedges, the Company estimates that the amount of gains (losses) in accumulated OCI to be reclassified into earnings in the next 12 months will not be material.

Derivative results

The following table presents the financial statement classification and amount of gains (losses) recognized on derivative instruments and related hedged items, where applicable:

	Year ended December 31, 2025				
	Net investment-related gains (losses)	Net investment income (loss)	Policy benefits (claims)	Interest expense	Change in AOCI
(\$ in millions)					
Derivatives designated as hedge accounting instruments:					
Fair Value Hedges					
<i>Gains (losses) on derivatives designated as hedge instruments:</i>					
Foreign currency contracts	\$ (1)	\$ —	\$ —	\$ —	\$ —
Total gains (losses) on derivatives designated as hedge instruments	(1)	—	—	—	—
<i>Gains (losses) on hedged items:</i>					
Foreign currency contracts	1	—	—	—	—
Total gains (losses) on hedged items	1	—	—	—	—
Total gains (losses) on fair value hedges, net of hedged items	—	—	—	—	—
Cash flow hedges					
Interest rate contracts	—	—	—	—	4
Total gains (losses) on cash flow hedges	—	—	—	—	4
Derivatives not designated as hedge accounting instruments:					
Interest rate contracts	(2)	—	—	—	—
Embedded derivatives - funds withheld payable	(68)	—	—	—	—
Total gains (losses) on derivatives not qualifying as hedge accounting instruments	\$ (70)	\$ —	\$ —	\$ —	\$ —

	Year ended December 31, 2024				
	Net investment-related gains (losses)	Net investment income (loss)	Policy benefits (claims)	Interest expense	Change in AOCI
(\$ in millions)					
Cash flow hedges					
Interest rate contracts	\$ —	\$ —	\$ —	\$ —	\$ 11
Total gains (losses) on cash flow hedges	—	—	—	—	11
Derivatives not designated as hedge accounting instruments:					
Interest rate contracts	(15)	—	—	—	—
Embedded derivatives - funds withheld payable	61	—	—	—	—
Total gains (losses) on derivatives not qualifying as hedge accounting instruments	\$ 46	\$ —	\$ —	\$ —	—

(5) Fair value disclosure of financial instruments

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (the exit price). The best evidence of fair value is a quoted price in an active market. If listed prices or quotations are not available, fair value is determined by reference to prices of similar instruments and quoted prices or recent prices in less active markets.

U.S. GAAP establishes a three-level valuation hierarchy, based upon observable and non-observable inputs. Observable inputs reflect market data obtained from independent sources, while unobservable inputs reflect the Company's market assumptions. The fair value hierarchy prioritizes inputs to the valuation techniques used to measure fair value, giving the highest priority to Level 1 inputs, and the lowest priority to Level 3 inputs. A financial instrument's level in the fair value hierarchy is based on the lowest level of any input that is significant to fair value measurement of the financial instrument. The three levels of the fair value hierarchy are described below:

Basis of fair value measurement

Level 1: Unadjusted quoted prices in active markets to which the Company had access at the measurement date for identical, unrestricted assets and liabilities.

Level 2: Inputs to valuation techniques are observable either directly or indirectly through quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations whose inputs are observable or whose significant value drivers are observable; and

Level 3: Model-derived, where one or more inputs to the valuation techniques are significant and unobservable.

The measurement of Level 3 financial instrument fair values uses unobservable inputs that are based on management judgment and the internal determination of assumptions that market participants would use in valuing them. Valuation subjectivity increases when markets are less liquid due to the lack of more transparent, market-based inputs, which may increase the potential that estimated fair values are not reflective of the price at which an actual transaction would occur.

The following tables represent the hierarchy for the Company's assets and liabilities measured at fair value on a recurring basis:

As of December 31, 2025	Level 1		Level 2		Level 3		Total
(\$ in millions)							
Assets:							
AFS fixed maturity securities:							
U.S. government and agencies	\$	—	\$	66	\$	—	\$ 66
U.S. state, municipal and political subdivisions		—		71		—	71
Corporate		—		1,856		75	\$ 1,931
Structured securities		—		2,653		117	2,770
Total AFS fixed maturity securities		—		4,646		192	4,838
Trading fixed maturity securities		—		1,441		21	1,462
Mortgage and other loan receivables		—		—		150	150
Total assets at fair value		—		6,087		363	6,450
Liabilities:							
Interest rate contracts		—		29		—	29
Foreign currency contracts		—		1		—	1
Embedded derivative – funds withheld payable		—		—		(635)	(635)
Total liabilities at fair value	\$	—	\$	30	\$	(635)	\$ (605)

As of December 31, 2024	Level 1		Level 2		Level 3		Total
(\$ in millions)							
Assets:							
AFS fixed maturity securities:							
U.S. government and agencies	\$	—	\$	78	\$	—	\$ 78
U.S. state, municipal and political subdivisions		—		189		—	189
Corporate		—		2,511		77	2,588
Structured securities		—		2,314		94	2,408
Total AFS fixed maturity securities		—		5,092		171	5,263
Trading fixed maturity securities		—		1,443		17	1,460
Mortgage and other loan receivables		—		—		42	42
Real assets		—		—		10	10
Total assets at fair value		—		6,535		240	6,775
Liabilities:							
Interest rate contracts		—		36		—	36
Embedded derivative – funds withheld payable		—		—		(703)	(703)
Total liabilities at fair value	\$	—	\$	36	\$	(703)	\$ (667)

Fair value techniques and inputs

The following is a description of the valuation techniques and inputs used for instruments carried at fair value. The observability of the inputs used in the valuation determines the appropriate level in the fair value hierarchy for the respective asset or liability.

Investments

Investments in U.S. Treasury, government and agency securities, foreign government securities, and short-term money market securities are valued using quoted market prices for identical unrestricted

instruments in active markets. Investments, such as fixed maturity securities for which quoted market prices from active markets are not available, are priced using observable inputs, which can be verified to quoted prices, recent trading activity for identical or similar instruments, broker or dealer quotations, or alternative pricing sources, with reasonable levels of price transparency. Consideration is given to the nature of the quotations and the relationship of recent market activity to the prices provided by alternative pricing sources. Other investments having one or more significant valuation inputs that are not observable are initially valued at transaction price, which is considered to be the best initial estimate of fair value. Subsequently, the Company uses other methodologies to determine fair value, which vary based on the type of investment.

Valuation inputs and assumptions are changed when corroborated by substantive observable evidence, including values realized on sales.

Derivative instruments

Derivative instruments such as exchange-traded futures and options are valued at their quoted market price. Most of the over the counter derivative instruments used by the Company are those for which all significant valuation inputs are corroborated by market evidence. These derivative instruments are principally valued using an income approach. The Company calculates the fair value of derivative assets by discounting future cash flows at a rate that incorporates counterparty credit spreads and the fair value of derivative liabilities by discounting future cash flows at a rate that incorporates the Company's own credit spreads. When appropriate, valuations are adjusted for various factors such as liquidity, bid/offer spreads, and credit considerations. Such adjustments are generally based on available market evidence.

Valuations for non-option based interest rate derivatives are based on present value techniques, which utilize significant inputs that may include the swap yield curve, Secured Overnight Financing Rate ("SOFR") basis curves, and repurchase rates. Valuations for option based interest rate derivatives are based on option pricing models, which utilize significant inputs that may include the swap yield curve, SOFR basis curves, and interest rate volatility.

Prices for foreign currency derivatives based on the exchange rates of leading industrialized nations, including those with longer tenors, are generally observable. The valuation of other derivative instruments including credit derivatives and equity market derivatives have significant unobservable inputs, such as equity volatility inputs for options that are very long dated, and are principally valued using an income approach.

Funds withheld payable at interest

The funds withheld payable at interest carried at fair value represents embedded derivatives and is valued based on the change in the fair value of the assets supporting the payable.

Fair value of assets and liabilities

Significant unobservable inputs

The tables below present significant unobservable inputs used to value the Company's Level 3 financial assets and liabilities, and includes only those items for which information is reasonably available, such as data from internal determinations of fair value.

As of December 31, 2025				
Level 3 assets ⁽¹⁾		Valuation techniques and significant unobservable inputs		Impact of an increase in the input on fair value
(\$ in millions)				
Corporate fixed maturity securities (AFS and trading)	\$	83	Discounted cash flow - discount spread	Decrease
Structured securities (AFS and trading)		130	Discounted cash flow - discount spread	Decrease
Mortgage and other loan receivables		150	Discounted cash flow - discount spread	Decrease

1. The funds withheld receivable and payable at interest have been excluded from the above table. As discussed in Note 8 - Reinsurance, the funds withheld receivable and payable at interest is created through funds withheld contracts. The assets supporting these receivables and payables were held in trusts, and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's balance sheets.

As of December 31, 2024				
Level 3 assets ⁽¹⁾		Valuation techniques and significant unobservable inputs		Impact of an increase in the input on fair value
(\$ in millions)				
Corporate fixed maturity securities (AFS and trading)	\$	80	Discounted cash flow - discount spread	Decrease
Structured securities (AFS and trading)		108	Discounted cash flow - discount spread	Decrease
			Discounted cash flow - constant prepayment rate	Increase/decrease
			Discounted cash flow - constant default rate	Decrease
			Discounted cash flow - loss severity	Decrease

1. The funds withheld receivable and payable at interest have been excluded from the above table. As discussed in Note 8 - Reinsurance, the funds withheld receivable and payable at interest is created through funds withheld contracts. The assets supporting these receivables and payables were held in trusts, and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's balance sheets.

Transfers between levels

Overall, transfers into and out of Level 3 are attributable to a change in the observability of inputs. Assets and liabilities are transferred into Level 3 when a significant input cannot be corroborated with market observable data. This occurs when market activity decreases significantly and underlying inputs cannot be observed, current prices are not available, and when there are significant variances in quoted prices, thereby affecting transparency. Assets and liabilities are transferred out of Level 3 when circumstances change such that a significant input can be corroborated with market observable data. This may be due to a significant increase in market activity, a specific event, or one or more significant input(s) becoming observable.

The tables below set forth a summary of gains and losses and changes in the fair value of the Company's Level 3 assets and liabilities during the dates indicated:

	Year ended December 31, 2025					
	Balance, beginning of period	Net realized and unrealized gains (losses) included in		Net settlements / purchases	Transfers in / out of Level 3	Balance, end of period
		Income	OCI			
(\$ in millions)						
Assets:						
AFS fixed maturity securities:						
Corporate	\$ 77	\$ —	\$ 2	\$ (4)	\$ —	\$ 75
Structured securities	94	2	3	18	—	117
Total AFS fixed maturity securities	171	2	5	14	—	192
Trading fixed maturity securities	17	2	—	2	—	21
Mortgage and other loan receivables	42	1	—	107	—	150
Real assets	10	—	—	(10)	—	—
Total assets	240	5	5	113	—	363
Liabilities:						
Embedded derivative – funds withheld payable	(703)	68	—	—	—	(635)
Total liabilities	\$ (703)	\$ 68	\$ —	\$ —	\$ —	\$ (635)

	Year ended December 31, 2024					
	Balance, beginning of period	Net realized and unrealized gains (losses) included in		Net settlements / purchases	Transfers in / out of Level 3	Balance, end of period
		Income	OCI			
(\$ in millions)						
Assets:						
AFS fixed maturity securities:						
Corporate	\$ 175	\$ —	\$ 19	\$ (117)	\$ —	\$ 77
Structured securities	84	3	2	(4)	9	94
Total AFS fixed maturity securities	259	3	21	(121)	9	171
Trading fixed maturity securities	121	16	—	(125)	5	17
Mortgage and other loan receivables	—	—	—	42	—	42
Real assets	—	—	—	10	—	10
Total assets	380	19	21	(194)	14	240
Liabilities:						
Embedded derivative – funds withheld payable	(642)	(61)	—	—	—	(703)
Total liabilities	\$ (642)	\$ (61)	\$ —	\$ —	\$ —	\$ (703)

Year ended December 31, 2025	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in millions)					
Assets:					
AFS fixed maturity securities:					
Corporate	\$ 5	\$ —	\$ (1)	\$ (8)	\$ (4)
Structured securities	55	—	(1)	(36)	18
Total AFS fixed maturity securities	60	—	(2)	(44)	14
Trading fixed maturity securities	6	—	—	(4)	2
Mortgage and other loan receivables	110	—	—	(3)	107
Real assets	—	—	—	(10)	(10)
Total assets	\$ 176	\$ —	\$ (2)	\$ (61)	\$ 113

Year ended December 31, 2024	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in millions)					
Assets:					
AFS fixed maturity securities:					
Corporate	\$ 19	\$ —	\$ —	\$ (136)	\$ (117)
Structured securities	15	—	—	(19)	(4)
Total AFS fixed maturity securities	34	—	—	(155)	(121)
Trading fixed maturity securities	8	—	—	(133)	(125)
Mortgage and other loan receivables	42	—	—	—	42
Real assets	10	—	—	—	10
Total assets	\$ 94	\$ —	\$ —	\$ (288)	\$ (194)

(6) Insurance intangibles

Value of business acquired

The following tables reflect the VOBA asset roll-forward for the guaranteed investment contracts:

	As of December 31,	
	2025	2024
(\$ in millions)		
Balance, as of the beginning of the period	\$ 11	\$ 42
Amortization expense	(8)	(31)
Balance, as of the end of the period	\$ 3	\$ 11

Estimated future amortization of VOBA as of December 31, 2025 is as follows:

Years	VOBA
(\$ in millions)	
2026	\$ 3
Total	\$ 3

(7) Policy liabilities

The following reflects the reconciliation of the components of policy liabilities to the total balance reported in the balance sheets as of the dates indicated:

	As of December 31,	
	2025	2024
(\$ in millions)		
Policyholders' account balances ⁽¹⁾	\$ 4,885	\$ 5,119
Guaranteed investment contract	2,860	3,520
Other policy-related liabilities ⁽²⁾	2	2
Total policy liabilities	\$ 7,747	\$ 8,641

(1) Policyholders' account balances include certain reinsured life policies where mortality risk is retained by the ceding company.

(2) Other policy-related liabilities consist of cost-of-reinsurance liabilities associated with Monthly Renewable Term reinsured.

Policyholders' account balances

The following reflects the policyholders' account balances roll-forward and average interest rates and cash surrender value as of and for the dates indicated:

	Year ended December 31, 2025		
	Fixed rate annuities	Interest sensitive life	Total
(\$ in millions, except percentages)			
Balance as of the beginning of the period	\$ 383	\$ 4,736	\$ 5,119
Issuances and premiums received	2	78	80
Benefit payments, surrenders, and withdrawals	(169)	(210)	(379)
Interest ⁽¹⁾	18	98	116
Other activity ⁽²⁾	(1)	(50)	(51)
Balance as of the end of the period	233	4,652	4,885
Less: reinsurance recoverable	—	(2,348)	(2,348)
Balance as of the end of the period, net of reinsurance recoverable	\$ 233	\$ 2,304	\$ 2,537
Average interest rate	5.51 %	1.94 %	2.03 %
Cash surrender value ⁽³⁾	\$ 223	\$ 1,716	\$ 1,939

(1) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including investment-type contract values.

(2) Other activity includes policy charges, fees and commissions, transfers, assumption changes, fair value changes, and the impact of hedge fair value adjustments.

(3) Cash surrender values are reported net of any applicable surrender charges, net of reinsurance.

	Year ended December 31, 2024		
	Fixed rate annuities	Interest sensitive life	Total
(\$ in millions, except percentages)			
Balance as of the beginning of the period	\$ 320	\$ 4,830	\$ 5,150
Issuances and premiums received	50	85	135
Benefit payments, surrenders, and withdrawals	(2)	(216)	(218)
Interest ⁽¹⁾	19	100	119
Other activity ⁽²⁾	(4)	(63)	(67)
Balance as of the end of the period	383	4,736	5,119
Less: reinsurance recoverable	(110)	(2,392)	(2,502)
Balance as of the end of the period, net of reinsurance recoverable	\$ 273	\$ 2,344	\$ 2,617
Average interest rate	4.96 %	2.16 %	2.49 %
Cash surrender value ⁽³⁾	\$ 292	\$ 1,742	\$ 2,034

(1) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including investment-type contract values.

(2) Other activity includes policy charges, fees and commissions, transfers, assumption changes, fair value changes, and the impact of hedge fair value adjustments.

(3) Cash surrender values are reported net of any applicable surrender charges, net of reinsurance.

The following table presents the account values by range of guaranteed minimum crediting rates and the related range of difference, in basis points, between rates being credited to policyholders and the respective guaranteed minimums:

Range of guaranteed minimum crediting rates	As of December 31, 2025						Total
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum		
Less than 1.00%	\$ 220	\$ —	\$ —	\$ —	\$ —	\$ 220	
1.00% - 1.99%	—	—	—	—	81	81	
2.00% - 2.99%	—	—	—	—	98	98	
Total	\$ 220	\$ —	\$ —	\$ —	\$ 179	\$ 399	
Percentage of total	55 %	— %	— %	— %	45 %	100 %	

Range of guaranteed minimum crediting rates	As of December 31, 2024						
	Account values with adjustable crediting rates subject to guaranteed minimums:						
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	Total	
(\$ in millions, except percentages)							
Less than 1.00%	\$ 377	\$ —	\$ —	\$ —	\$ —	\$ 377	
2.00% - 2.99%	—	—	37	—	166	203	
Total	\$ 377	\$ —	\$ 37	\$ —	\$ 166	\$ 580	
Percentage of total	65 %	— %	6 %	— %	29 %	100 %	

(8) Reinsurance

The Company has entered into a number of reinsurance treaties with counterparties whereby the Company assumes whole life and universal life on a coinsurance basis, and universal life on a Monthly Renewal Term ("MRT") reinsurance basis.

The effects of all reinsurance agreements on the balance sheets were as follows:

	As of December 31,	
	2025	2024
(\$ in millions)		
Policy liabilities:		
Assumed	\$ 4,887	\$ 5,121
Total policy liabilities⁽¹⁾	4,887	5,121
Ceded ⁽²⁾	(2,346)	(2,502)
Net policy liabilities	\$ 2,541	\$ 2,619

(1) Total policy liabilities excludes the GIC contract issued to Global Atlantic Re in the amount of \$2.9 billion and \$3.5 billion as of December 31, 2025, and 2024, respectively.

(2) Reported within reinsurance recoverable in the balance sheets.

A key credit quality indicator is a counterparty's A.M. Best financial strength rating. A.M. Best ratings are an independent opinion of a reinsurer's ability to meet ongoing obligations to policyholders. The Company mitigates counterparty credit risk by requiring collateral and credit enhancements in various forms including engaging in funds withheld at interest and modified coinsurance transactions. The following shows the amortized cost basis of the Company's reinsurance recoverable by credit quality indicator and any associated credit enhancements the Company has obtained to mitigate counterparty credit risk:

A.M. Best Rating ⁽¹⁾	As of December 31, 2025			As of December 31, 2024		
	Reinsurance recoverable ⁽²⁾	Credit enhancements ⁽³⁾	Net reinsurance credit exposure ⁽⁵⁾	Reinsurance recoverable ⁽²⁾	Credit enhancements ⁽³⁾	Net reinsurance credit exposure ⁽⁵⁾
Not rated or private rating ⁽⁴⁾	\$ 2,346	\$ 1,779	\$ 567	\$ 2,508	\$ 1,871	\$ 637
Total	\$ 2,346	\$ 1,779	\$ 567	\$ 2,508	\$ 1,871	\$ 637

(1) Ratings are periodically updated (at least annually) as A.M. Best issues new ratings.

(2) At amortized cost, excluding any associated embedded derivative assets and liabilities.

(3) Includes funds withheld payable at interest.

(4) Includes \$2.3 billion and \$2.5 billion as of December 31, 2025, and 2024, respectively, associated with cessions to certain co-investment vehicles (the "sponsored reinsurance sidecar vehicles") that participate in qualifying reinsurance transactions sourced by the Company.

(5) Includes credit loss allowance of \$7 million and \$5.7 million as of December 31, 2025, and 2024, respectively, held against reinsurance recoverable.

The effects of reinsurance on the statements of income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Premiums:		
Assumed	\$ 37	\$ 37
Ceded	(7)	(7)
Net premiums	30	30
Policy benefits and claims:		
Assumed	152	138
Ceded	(59)	(56)
Net policy benefits and claims⁽¹⁾	\$ 93	\$ 82

(1) Net policy benefits and claims excludes the GIC contract issued to Global Atlantic Re in the amount of \$166 million and \$149 million as of December 31, 2025, and 2024, respectively.

The Company holds collateral for and provides collateral to our reinsurance clients. The Company held \$2.4 billion and \$2.6 billion of collateral in the form of funds withheld payable at interest on behalf of our reinsurers as of December 31, 2025, and 2024, respectively.

A significant portion of the collateral that the Company provides to its reinsurance clients is provided in the form of assets held in trusts for the benefit of the counterparty. As of December 31, 2025, and 2024, these trusts were required to hold, and held in excess of, \$5.1 billion and \$5.3 billion of assets to support reserves of \$4.9 billion and \$5.1 billion, respectively.

(9) Composition of other assets, liabilities, income, insurance expenses, and general and administrative expenses

Other assets consist of the following:

	As of December 31,	
	2025	2024
(\$ in millions)		
Investments in-course of settlement	\$ 26	\$ 38
Miscellaneous assets ⁽¹⁾	5	3
Total other assets	\$ 31	\$ 41

(1) Includes net related party receivable amount of \$377 thousand as of December 31, 2025.

Other liabilities consist of the following:

	As of December 31,	
	2025	2024
(\$ in millions)		
Derivative liabilities	\$ 30	\$ 36
Investment in-course of settlement ⁽¹⁾	—	10
Accrued expenses and other payables	4	5
Total other liabilities	\$ 34	\$ 51

(1) Primarily includes amounts owed to third parties for investment purchases for which cash settlement has not occurred.

Other income consists of the following:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Reinsurance administrative fee income	\$ 2	\$ 2
Total other income	\$ 2	\$ 2

Insurance expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Commission expense	\$ 1	\$ 5
Reinsurance expense allowance	4	5
Total insurance expenses	\$ 5	\$ 10

General and administrative expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Professional services	\$ 2	\$ 4
Other miscellaneous general and administrative expenses	3	2
Total general and administrative expenses	\$ 5	\$ 6

(10) Shareholder's equity

The maximum number of the Company shares authorized for issuance is 370,000 common shares, at par value of \$1 per share.

Return of capital

For the year ended December 31, 2024, the Company has made a total of \$150 million, in returns of capital to its direct parent.

For information on dividend restrictions on GAAL, please see Note 13—"Dividend restrictions and statutory information."

(11) Accumulated other comprehensive income (loss)

Information regarding amounts reclassified out of each component of accumulated other comprehensive income (loss) as follows:

Components of accumulated other comprehensive income (loss)	Statements of income (loss) and statements of comprehensive income (loss) location	Years ended	
		December 31,	
		2025	2024
(\$ in millions)			
Net unrealized investment-gains (losses) on AFS fixed maturity securities:			
Net unrealized investment gains (losses)	Net investment-related gains (losses)	\$ (273)	\$ (23)
Net unrealized investment gains (losses), reclassified		\$ (273)	\$ (23)

(12) Income taxes

As a Bermuda-based company, the Company is not subject to U.S. federal income taxes.

The Company may be subject to a variety of transfer pricing or permanent establishment challenges by taxing authorities in various jurisdictions. The completion of tax examinations may result in changes to the amounts recognized in the Company's financial statements.

Bermuda enacted the Corporate Income Tax Act 2023 ("CITA") on December 27, 2023. The CITA introduces a 15% corporate income tax rate, effective for tax years beginning on or after January 1, 2025. The Company is expected to be eligible to exclude its CFC income from CITA for two years under the controlled foreign company tax regime. As such, Company is expected to be subject to CITA starting in 2027.

(13) Dividend restrictions and statutory information

GAAL is subject to the Bermuda Insurance Act 1978, as amended, and related regulations (the "Bermuda Insurance Act").

The Bermuda Insurance Act limits the ability of GAAL to pay dividends or make capital distributions by stipulating certain margin and solvency requirements, and by requiring approval from the BMA prior to a distribution of 15% or more of an insurer's total statutory capital as reported on its prior year statutory balance sheet. Moreover, an insurer must submit an affidavit to the BMA, sworn by at least two directors and the principal representative in Bermuda of the Bermuda insurer, at least seven days prior to payment of any dividend which would exceed 25% of an insurer's total statutory capital and surplus as reported on its prior year statutory balance sheet. The affidavit must state that, in the opinion of those swearing, the declaration of such dividend has not caused the insurer to fail to meet its relevant margins ("Bermuda Dividend Affidavit"). Accordingly, GAAL may distribute up to: (1) 100% of statutory surplus; plus (2) an amount less than 15% of statutory capital, upon providing the BMA with a Bermuda Dividend Affidavit and meeting applicable solvency requirements, without BMA approval.

With respect to margin and solvency requirements, the Bermuda Insurance Act prohibits GAAL from declaring or paying any dividends during any financial year if it is in breach of its solvency margin, or if the declaration or payment of such dividends would cause such a breach. If the insurer has failed to meet its minimum solvency margin on the last day of any financial year, such an insurer will also be prohibited, without the approval of the BMA, from declaring or paying any dividends during the next financial year. GAAL is also prohibited from declaring or paying a dividend when it has failed to comply with its enhanced capital requirement, until such noncompliance is rectified.

As of December 31, 2025, GAAL exceeded all relevant capital requirements. The aggregate amount of dividends and capital distributions permitted to be made from GAAL, without a required approval from or a submission of an affidavit to the BMA during the year ended December 31, 2026, is \$244 million. Dividends and capital distributions made by the Company during the year ended December 31, 2025 did not exceed the foregoing thresholds.

Statutory financial information

The Bermuda Insurance Act requires the Company to prepare and file statutory financial statements with the BMA in accordance with BMA prescribed or permitted practices that may differ from U.S. GAAP. For example, Bermuda statutory surplus differs from U.S. GAAP primarily due to a modification that

permits the Company not to measure the embedded derivative included within certain funds withheld coinsurance agreements at fair value. In addition, Bermuda insurance account rules permit the Company to measure the policy liabilities net of reinsurance recoverable and report the GIC as a reinsurance contract rather than traditional GIC.

The Bermuda Insurance Act also requires the Company to maintain certain measures of solvency and liquidity. The Company's Bermuda statutory financial statements form the basis for assessing the Company's liquidity, minimum solvency margin, and class of registration. These financial statements in turn form the basis for the preparation of the insurer's economic balance sheet. The economic balance sheet approach is a principles-based valuation approach to determine an insurer's capital adequacy, and is used as the basis for determination of the Company's enhanced capital requirement.

(14) Related party transactions

The Company has an investment management service agreement with Kohlberg Kravis Roberts & Co. ("KKR"), the Company's ultimate parent and the ultimate parent of the GALD. KKR provides investment management services across the Company. The Company recorded expenses, included in net investment income (loss), for this agreement of \$23 million and \$19 million for the years ended December 31, 2025, and 2024 respectively.

The Company has agreements with certain affiliates under GALD. These affiliates agreed to provide personnel, management services, administrative support, the use of facilities, and such other services as the parties may agree from time to time. The Company recorded expenses of \$12 million and \$14 million for the years ended December 31, 2025, and 2024, respectively. The Company had \$377 thousand receivable and \$2 million payable as of December 31, 2025, and 2024, respectively.

On April 2, 2018, the Company issued a series of GICs to Global Atlantic Re, for a combined principal amount of \$5 billion in exchange the Company pays a guaranteed rate of return to Global Atlantic Re. Pursuant to the issuance of the GICs, the assets received by the Company were deposited in a trust, for the benefit of Global Atlantic Re. Subsequent to the initial GIC issuance, certain GICs have rolled over or matured. The Company recorded interest expense of \$172 million and \$183 million for years ended December 31, 2025, and 2024, respectively. The carrying value of the GICs, including accrued interest of \$107 million was \$2.9 billion as of December 31, 2025. The carrying value of the GICs, including accrued interest of \$307 million was \$3.5 billion as of December 31, 2024.

On June 22, 2023, the Company's affiliate Commonwealth Annuity and Life Insurance Company entered into a \$80 million loan with the Company. The loan had an original maturity date of July 6, 2023 which was extended to December 24, 2024 and an original annual interest rate of 4.36% which was adjusted to 4.17%. On December 19, 2024, the loan was repaid in full with interest.

On November 3, 2023, the Company's affiliate Commonwealth Annuity and Life Insurance Company entered into a \$100 million loan with the Company. The loan had an original maturity date of January 31, 2024 which was extended to December 24, 2024 and an original annual interest rate of 5.23% which was adjusted to 4.17%. On December 19, 2024, the loan was repaid in full with interest.

The Company held related party investments in its portfolio as of December 31, 2025 as follows:

		As of December 31, 2025		
		Asset carrying value	Accrued interest	Total balance sheet amount ⁽¹⁾⁽²⁾
Type	Balance sheet classification			
(\$ in millions)				
KKR-issued investments	AFS fixed maturity securities	\$ 29	\$ —	\$ 29
Total related party investments		\$ 29	\$ —	\$ 29

(1) Excludes internal securitizations of \$25 million between the Company and its affiliates.

(2) Excludes funds withheld at interest balances between the Company and its affiliates.

The Company earned net investment income from related party investments, and from investments managed by related parties, as follows:

	Year ended December 31, 2025
(\$ in millions)	
Net investment income	
KKR fixed maturity securities	\$ 2
Total net investment income⁽¹⁾⁽²⁾	\$ 2

(1) Excludes income of internal securitizations of \$2 million between the Company and its affiliates.

(2) Excludes funds withheld at interest balances between the Company and its affiliates.

(15) Commitments and contingencies

Commitments

The Company has commitments to purchase or fund investments of \$26 million and \$42 million as of December 31, 2025, and 2024, respectively. These commitments include those related to mortgage loans. The commitment periods vary, with most extending for the next 3 years, but some extend longer. Some of these investment commitments may be subject to conditions that must be met prior to funding.

Legal matters

As of the date of these financial statements, the Company is not involved in judicial, regulatory, or arbitration matters. The Company expects that they may, from time to time, be involved in judicial, regulatory, and arbitration proceedings concerning matters arising in connection with the conduct of the Company's business. The Company will, at such time, assess the reasonable probability that a loss may be incurred, and reflect any such reasonably probable loss on its financial statements.

(16) Subsequent events

The Company evaluated all events and transactions through April 23, 2026, the date the accompanying financial statements were available to be issued, that would merit recognition or disclosures in the financial statements, and determined that nothing arose that merits recognition or disclosure.